# Woodfine Direct-Hold Solutions — Sensitivity Analysis

$250M · 2778K Investment Units @ $100.00 · Y1–Y10 · June 2026

## How the structure behaves when conditions worsen

### If costs rise **while we build**

Woodfine Direct-Hold Solutions issue less debenture and build fewer Investment Units of space, holding interest coverage at the **1.20× covenant — no breach**. At a +200 bps coupon, about **77%** of the programme is built.

### Once **built**

Stabilised coverage is **2.49×** (Year 8). It would take roughly **+538 bps** (a coupon near 10.4%) before coverage reaches the covenant. The built structure absorbs large increases.

### What this means for **your capital**

Across both regimes the **$100.00** capital-preservation reference per Investment Unit holds and the covenant is never breached. The structure adapts; it does not break.



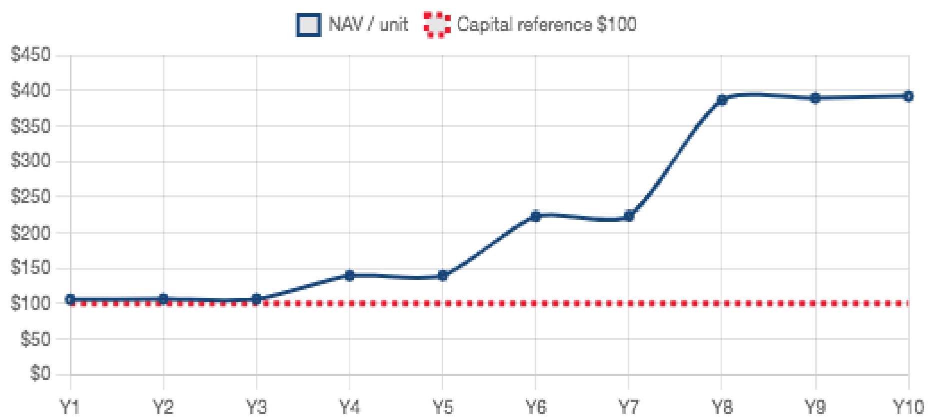
## Section 1 of 4 — What we expect to happen

Base case · 10-year forecast per Investment Unit

All figures generated by the forecast engine. Base assumptions: development yield 10.50% (net of 5% vacancy ⇒ **95% occupancy**) · cap rate 6.25% · debenture 5.00% · buyer yield 8.00% · coverage covenant 1.20× · capital-preservation reference $100.00/Investment Unit.

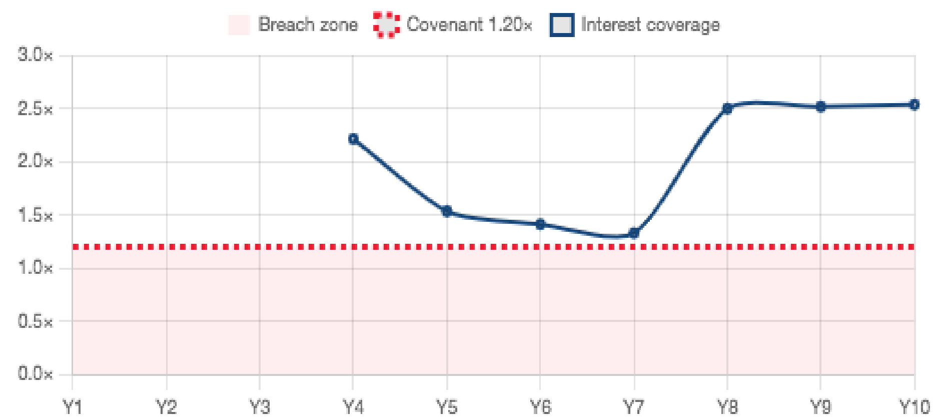
| Y8 NAV / Unit | Y8 Income Yield on Capital | Y10 NAV / Unit | Y8 Market Value / Unit | Min Interest Coverage | Stabilised Occupancy |
|---|---|---|---|---|---|
| **$386.29** | **24.02%** | **$391.67** | **$300.23** | **1.33×** | **95%** |
| the value · on $100 invested | the income · on $100 invested | capital growth | distribution ÷ 8% buyer yield | Year 7 (covenant 1.20×) | net of 5% vacancy |

### NAV PER INVESTMENT UNIT ($100 INVESTED)




NAV rises from ~$100 at issue to ~$392 by Year 10. The $100 capital-preservation reference is shown.

### INTEREST COVERAGE — COVENANT FLOOR 1.20×




Coverage is tightest mid-build (Year 7) and rises after stabilisation. It stays on or above the 1.20× covenant.

## FINANCIAL FORECAST — PER INVESTMENT UNIT (ENGINE-GENERATED; CIRCULATED SUMMARY FORM)

| Per Investment Unit | Y1 | Y2 | Y3 | Y4 | Y5 | Y6 | Y7 | Y8 | Y9 | Y10 |
|---|---|---|---|---|---|---|---|---|---|---|
| Revenue (per Unit) | – | – | – | $8.20 | $8.20 | $21.03 | $21.03 | $45.78 | $45.78 | $45.78 |
| Distributions (per Unit) | – | – | – | $1.62 | $2.17 | $3.33 | $4.39 | $24.02 | $24.14 | $24.26 |
| Distribution Yield on Initial Capital | – | – | – | 1.62% | 2.17% | 3.33% | 4.39% | 24.02% | 24.14% | 24.26% |
| Asset Value (per Unit) | $105.43 | $105.93 | $106.02 | $200.24 | $261.59 | $462.92 | $581.27 | $741.55 | $741.55 | $741.55 |
| Total Debt (per Unit) | – | – | – | $61.11 | $122.22 | $240.08 | $357.93 | $355.26 | $352.58 | $349.88 |
| Net Asset Value (NAV) per Unit | $105.43 | $105.93 | $106.02 | $139.13 | $139.37 | $222.85 | $223.34 | $386.29 | $388.97 | $391.67 |
| Market Value per Unit | $100.00 | $100.00 | $100.00 | $125.80 | $132.10 | $171.50 | $177.30 | $300.23 | $301.73 | $303.24 |
| Discount / Premium vs NAV | – | – | – | −9.58% | −5.22% | −23.04% | −20.61% | −22.28% | −22.43% | −22.58% |
| Compounded Annual Return (Y8) | – | – | – | – | – | – | – | 14.73% | – | – |
| Distribution Yield to Buyers at Market | – | – | – | 1.29% | 1.64% | 1.94% | 2.48% | 8.00% | 8.00% | 8.00% |
| Interest Coverage Ratio | – | – | – | 2.21× | 1.53× | 1.41× | 1.33× | 2.49× | 2.51× | 2.53× |
| Debt vs Development Cost | – | – | – | 14.02% | 28.03% | 55.06% | 82.09% | 81.48% | 80.87% | 80.25% |
| Debt to Asset Value | – | – | – | 30.52% | 46.72% | 51.86% | 61.58% | 47.91% | 47.55% | 47.18% |
| Total Expense Ratio | 1.18% | 1.17% | 1.17% | 0.89% | 0.89% | 0.56% | 0.56% | 0.32% | 0.32% | 0.32% |
| Sqft (stabilised) | – | – | – | 699.6K | 699.6K | 1794.8K | 1794.8K | 3906.9K | 3906.9K | 3906.9K |

Forward-looking information (FOFI) — assumptions as at June 2026; actual results will vary. See Section 4.

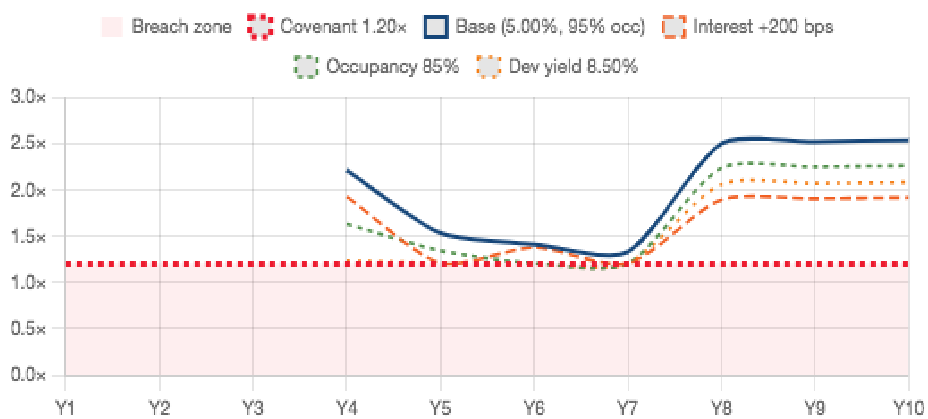
WOODFINE DIRECT-HOLD SOLUTIONS — SENSITIVITY ANALYSIS

# Section 2 of 4 — If conditions worsen while we build, we build less

Management Response · the covenant is held across cap-cost, occupancy and yield stress

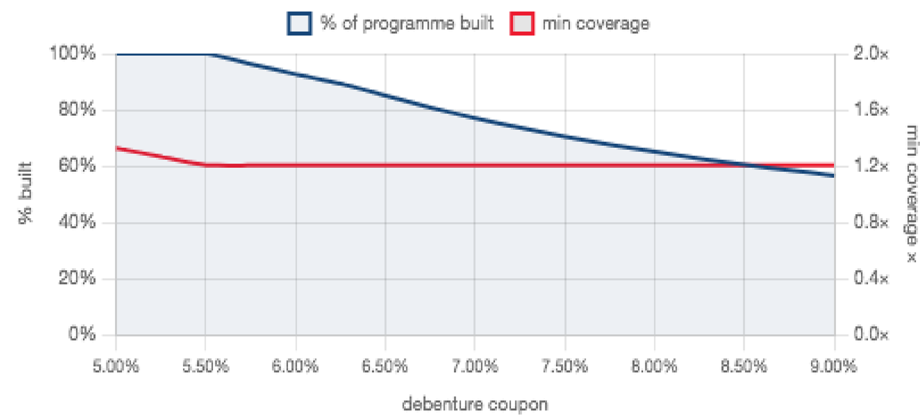
The forecasts reflect the structure as it is actually managed. If financing costs or operating conditions deteriorate during build-out, the issuer constrains debenture issuance and builds fewer Investment Units of space, holding interest coverage at the 1.20× covenant. A static path that froze every management lever — holding issuance and build-out at plan while costs rose — is not a realistic operating scenario: under the debenture terms a sustained covenant breach would transfer control of the assets to the secured lenders. Because that no-response path does not represent how the structure would be operated, it is not presented here as a scenario.

## COVERAGE IS HELD — ACROSS INTEREST RATE, OCCUPANCY AND DEVELOPMENT YIELD




Base and three coverage-driver stresses (interest +200 bps, occupancy 90%, development yield 9.50%), all managed. Every line sits on or above the 1.20× covenant — no breach, Y1–Y10.

## THE ADAPTIVE LEVER — BUILD LESS AS FINANCING COST RISES




As the coupon rises the issuer dials the programme down (left axis) while minimum coverage stays pinned at 1.20× (right axis): at +200 bps ~77% built; at +400 bps ~57%.

## MANAGEMENT RESPONSE TO THE THREE COVERAGE DRIVERS (ENGINE-COMPUTED)

| Stress (one driver, all else at base) | Programme built | Minimum coverage | Y8 NAV / Unit (value) | Y8 Income Yield on Capital |
|---|---|---|---|---|
| Interest rate · +200 bps → 7.00% | 77% | 1.20× | $316.73 | 14.41% |
| Occupancy · 85% (from 95%) | 98% | 1.20× | $304.04 | 19.36% |
| Development yield · 8.50% (from 10.50%) | 88% | 1.20× | $226.43 | 14.54% |

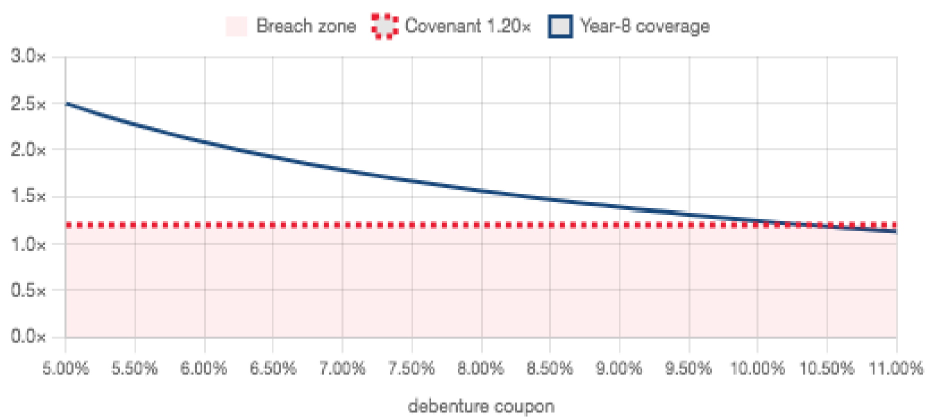
Cap rate is a valuation input only (it does not change operating coverage) and is shown in Section 3 and Section 4.

## Section 3 of 4 — Once built, the structure absorbs large shocks

Post-construction coverage headroom · corrective disposition of last resort

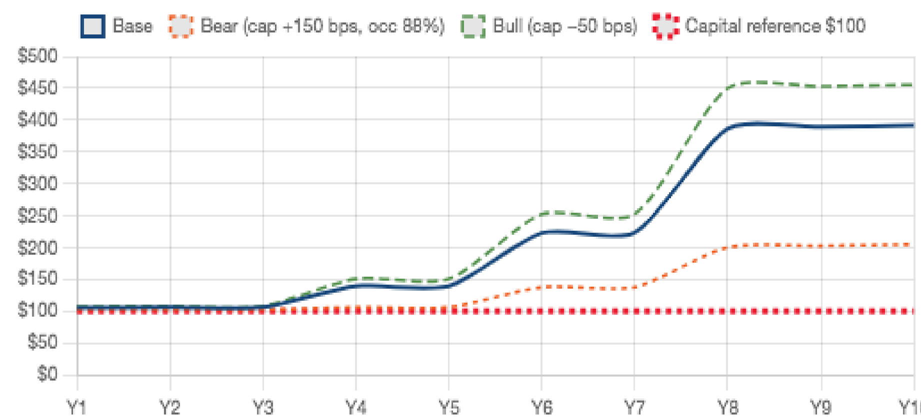
After construction, stabilised coverage is high. Year-8 coverage is 2.49× and it would take roughly +538 bps (a coupon near 10.4%) before it reaches the 1.20× covenant — so a corrective disposition is rarely needed. If an extreme combined shock did land after build-out, the minimum disposition required to restore the covenant is shown.

### POST-CONSTRUCTION HEADROOM — YEAR-8 COVERAGE VS COUPON




Stabilised Year-8 coverage starts at 2.49× and reaches the 1.20× covenant only near a 10.4% coupon (≈ +538 bps).

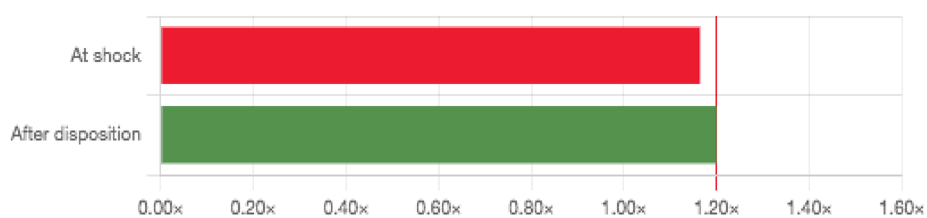
### NAV RESILIENCE — BASE VS BEAR AND BULL




NAV/unit climbs to ~$392 by Year 10. Even the bear case (cap +100 bps, occupancy 92%) stays well above the $100 capital-preservation reference — and the distribution yield on initial capital moves with NAV, so the income and value sensitivities track together.

## CORRECTIVE DISPOSITION — EXTREME POST-BUILD SHOCK (CURABLE)

### COVERAGE: AT SHOCK VS AFTER CORRECTIVE DISPOSITION




| | | |
|---|---|---|
| **31.7%** | **$339.0M** | **$339.0M** |
| Minimum disposition | At stressed value | Debt retired |
| **1.20×** | **68.3%** | **$30.26** |
| Coverage restored | Portfolio remaining | NAV/unit post-cure |

Curable post-build shock: selling ≈32% of the portfolio at stressed value lifts coverage from 1.16× back to the 1.20× covenant. Some combined shocks are incurable by disposition (the applicable response is constrained issuance) and are noted below.

Some combined shocks (cheap debt with an income collapse) cannot be cured by disposition because retained assets out-yield the debt; in that regime the applicable response is constrained issuance, not a sale (IFRS 13 §15–§24 orderly-transaction caveat applies to stressed-value sales).

## Section 4 of 4 — Measurement sensitivity, assumptions & caveats

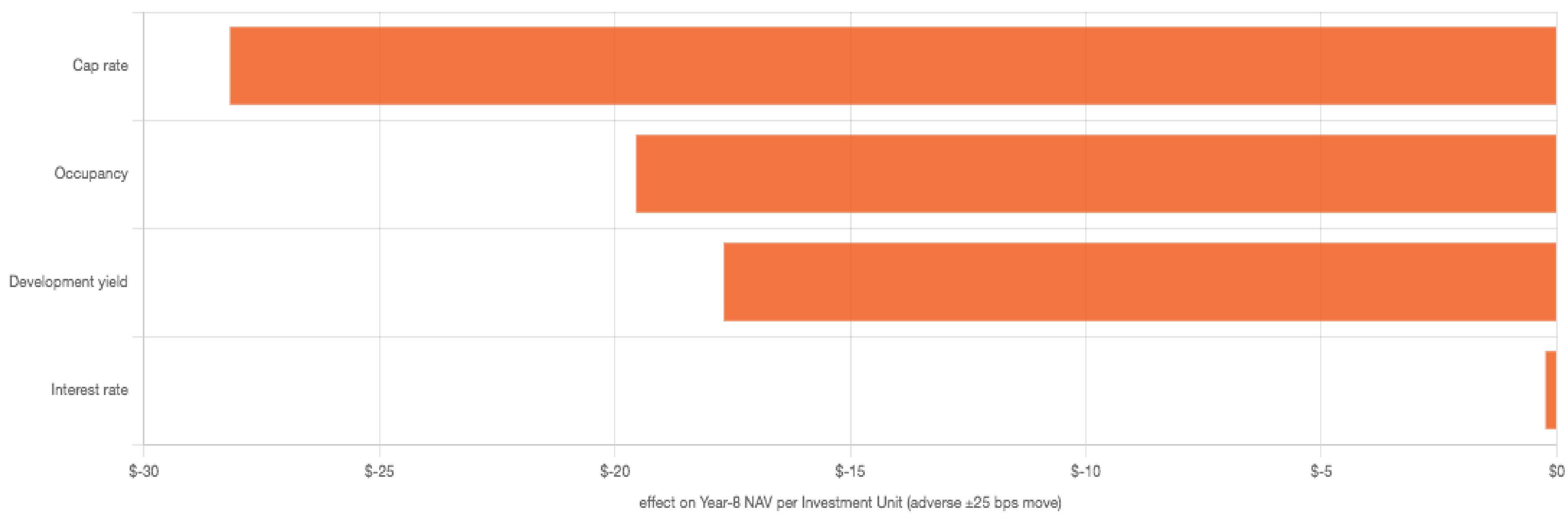
IFRS 13 §93(h)(ii) reasonably-possible disclosure · forward-looking statements

### IFRS 13 §93(H)(II) — REASONABLY-POSSIBLE (±25 BPS) MEASUREMENT SENSITIVITY

| Unobservable input | Adverse move | Favourable move | Y8 NAV / Unit (adverse) | Y8 NAV / Unit (favourable) | Y8 Income Yield (adverse) | Min coverage (adverse) |
|---|---|---|---|---|---|---|
| **Cap rate** | +25 bps → 6.50% | −25 bps → 6.00% | $358.12 (−$28.17) | $416.81 (+$30.52) | 24.02% (+0.00 pp) | 1.33× |
| **Interest rate** | +25 bps → 5.25% | −25 bps → 4.75% | $386.05 (−$0.24) | $386.53 (+$0.24) | 23.21% (−0.81 pp) | 1.26× |
| **Occupancy** | −2.5 pp → 92.5% | +2.5 pp → 97.5% | $366.74 (−$19.55) | $405.84 (+$19.55) | 22.93% (−1.08 pp) | 1.29× |
| **Development yield** | −25 bps → 10.25% | +25 bps → 10.75% | $368.60 (−$17.69) | $403.98 (+$17.69) | 23.04% (−0.98 pp) | 1.29× |

Within the reasonably-possible range, the measurement is not sensitive to a degree that threatens the $100 capital-preservation reference or the 1.20× covenant; the dollar effects are small and shown above. Moves larger than this range are stress scenarios outside the §93(h)(ii) disclosure (for reference, NAV reaches $100 per Unit only if the cap rate widened to about 10.26%, ≈ +401 bps — far beyond reasonably possible).

### RANKED REASONABLY-POSSIBLE EFFECT ON YEAR-8 NAV PER UNIT (±25 BPS)



## BASIS OF PREPARATION

All figures are generated by the forecast engine; the interface performs no independent calculation. The circulated Excel summary (AA12:AN35) supplies the table form and layout only; figures may differ because the engine expenses debenture financing costs as incurred rather than grossing them into the debt principal. The 10.50% development yield is net of 5% vacancy, so the base reflects **95% occupancy**.

The forecasts reflect the structure as actually managed (Section 2). A static no-response projection is not presented because, under the debenture terms, a sustained covenant breach would transfer control of the assets to the secured lenders — it is not an operating scenario. Woodfine Direct-Hold Solutions issue Investment Units and are direct-hold structures; they do not offer unit redemption or carry the reserve features of redeemable collective-investment vehicles.

## FORWARD-LOOKING INFORMATION (FOFI)

This analysis is future-oriented financial information prepared on the stated assumptions as at June 2026. The management-response and corrective-disposition exhibits are forward-looking illustrations, not fair-value measurement inputs. Actual results, measurements and outcomes will differ — potentially materially — and readers should not place undue reliance on them. Prepared and presented consistent with NI 51-102 and ISAE 3400.